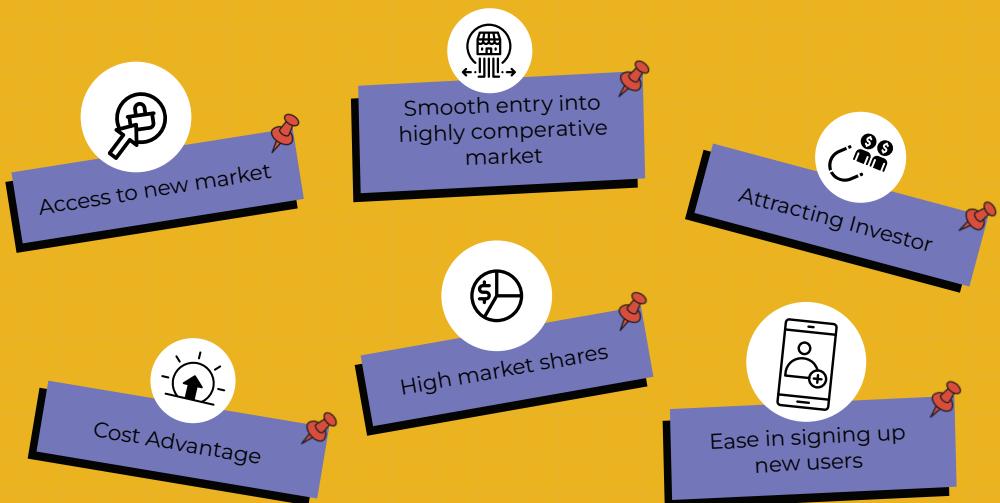


When companies recognise this, they may form alliances to stabilise their revenue. For instance, if one tea company and one biscuit company come together and sell their product in sets for a small discount, both products will benefit from the demand for the other goods.

BENEFITS- **Through the sources of competitive edge**



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Another type of alliance that can be formed is joint ventures between companies or institutions from different countries. Suppose company A wants to expand its operations in company B's country where it is relatively unknown to customers. Then, companies A and B can come together so that A can sell its product in B's country.

This way A can save on marketing costs by sharing a small portion of its revenue with B. Typically, alliances are difficult to form and enforce and hence, the advantage coming out of alliances cannot be replicated in the short term.